

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF NEW YORK

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JANICE H. LEE,

Plaintiff,

v.

ERIC T. SCHNEIDERMAN, KELLY
DONOVAN, PERI ALYSE KADANOFF,
HOWARD FELDBERG, TAREK
RAHMAN, MICHAEL RODRIGUEZ,
JOEL POCCIA, PAUL GREZEGORSKI,
CHRISTOPHER VASTA, DOMINICK
ZARRELLA, MICHAEL MORALES,
ANTHONY FAVALE, MICHAEL
CONLON, ANTHONY SCANDIFFIO,
RACHEL MUZICHENKO, CITY OF NEW
YORK, WILLIAM J. BRATTON AS
COMMISSIONER, PHILLIP BANKS III,
SUNHOO KIM, DETECTIVE WALTER
HARKINS, POLICE OFFICER JOSEPH
KIM, UNITED STATES OF AMERICA,
JEFFERY BASHARA, JANE and JOHN
DOES 1-25 (each defendant in their
individual and official capacity),

Defendants.

15-CV- 00548-WHP-DF

Civil Action

**First Amended Complaint
with Jury Demand**

Plaintiff Janice Lee for her complaint against the above-named defendants, states:

INTRODUCTION

1. This is an action for money damages arising from a false arrest and related civil rights violations committed by the defendants. In January 2014, defendants, individually and in their official capacities, falsely arrested plaintiff Janice Lee and caused her to be incarcerated in violation of her Fourth Amendment rights and in violation of various other rights as discussed below. Janice Lee was falsely targeted by defendants as an alleged a part of an “18 member gang” – a “drugs and prostitution gang” – that purportedly engaged in extensive criminal activity. The defendants included plaintiff Janice Lee with abject disregard for the accuracy of their “investigative” information, and despite knowledge of her actual innocence.

2. In the blind zeal for immediate publicity and maximum exposure before a world-wide audience for sensationalist, tabloid news splash, defendants organized, participated or fed a press conference where prepared props and charts were used to disseminate the “news” to an extensive, world-wide audience which expanded even to the media in South Korea and other countries that reported the story instantly.

3. At the time of her arrest, Janice Lee was a mother of an 8-year old child; a family woman; and a dedicated New Jersey-district manager of an international hair

products distribution company located in Moonachie, New Jersey. Defendants falsely claimed to have “investigated” her as part of the “gang” for almost a year culminating in her February 2014 arrest. They told the world wide press and audience that “Janice” aka “Naomi” was a significant participant in the gang. Defendants had full, unimpeded access by subpoena and other means to Janice H. Lee’s cell phone number and records; her EZ Pass tag information; her motor vehicle profile; her driving abstract; her activities; and they could have investigated her at her place of employment and at her home. Upon information and belief, the New York defendants contacted the New Jersey defendants whereupon the New Jersey State Police provided the New York defendants with the driver’s license photograph of one “Janice H. Lee.” Furthermore, upon information and belief, defendants provided knowingly falsely facts to procure a fugitive arrest warrant for plaintiff Janice Lee; and then participated in the New York detainer process through a so-called “fugitive warrant” by arresting plaintiff Janice Lee at her place of employment in Moonachie, New Jersey.

4. Plaintiff alleges that defendants wrongfully arrested plaintiff Janice H. Lee, without probable cause, without a scintilla of basis; then incarcerated; intentionally, knowingly and recklessly disregarded her repeated claims of actual innocence including her extensive proof that she was not associated with any of the alleged

“gang” members; she never sold or used illegal drugs; and never was part of the sex trade. Despite Janice Lee having provided the defendants — principally Assistant Deputy Attorney General Howard Felberg with exculpatory evidence — the defendants continued to disregard proof of Janice H. Lee’s innocence repeatedly. Janice H. Lee was locked up at Bergen County Jail with defendants being in no hurry to conduct a proper investigation; no hurry to review proof of her actual innocence; and no hurry to administer justice because their primary objective was to create a news splash regardless of guilt or innocence of plaintiff Janice H. Lee.

THE PARTIES

I. The Plaintiff

5. At all relevant times, plaintiff Janice H. Lee was and still is a resident and domiciliary of New Jersey residing at 286 Shaler Blvd., Ridgefield, New Jersey. At all relevant times, plaintiff Janice Lee has been working as New Jersey district manager for an international distributor of hair products.

II. The State of New York

6. At all times, all defendants committed the acts and omissions set forth below in the official and individual capacities. Each defendant, of his or her own volition, knew or should have known that plaintiff Janice H. Lee was innocent of any violation within the purview of their investigation for alleged drugs-and-prostitution gang of

“Korean” individuals.

7. At all times hereinafter mentioned, the defendants, either personally or through their employees, were acting under color of state law and/or in compliance with the official rules regulations, laws, statutes, customs, usages and/or practices of the State or City of New York, to deprive plaintiff Janice Lee of her rights secured by the Constitution and the laws of United States and the State of New York, in direct violation of plaintiff's Fourth Amendment Constitutional rights to be free from unreasonable searches and seizures.

8. Defendant Eric T. Schneiderman is the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Eric T. Schneiderman led “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

9. Defendant Kelly Donovan is Executive Deputy Attorney General for Criminal Justice of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Kelly Donavan led “Operation Out of Bounds”, and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

10. Defendant Peri Alyse Kadanoff is Deputy Attorney General of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Peri Alyse Kadanoff led “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

11. Defendant Howard Feldberg is Assistant Deputy Attorney General of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Howard Feldberg led “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

12. Defendant Tarek Rahman, is Assistant Deputy Attorney General of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Tarek Rahman led “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

13. Defendant Michael Rodriguez is OCTF Investigator of the Attorney

General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Michael Rodriguez led and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

14. Defendant Rachel Muzichenko is OCTF Investigator of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Rachel Muzichenko led and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

15. Defendant Joel Poccia is OCTF Senior Investigator of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Joel Poccia was responsible for and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

16. Defendant Paul Grzegorski is OCTF Supervising Investigator of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon

information and belief, at all times relevant to this complaint, defendant Paul Grzegorski was responsible and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

17. Defendant Christopher Vasta is OCTF Deputy Chief of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Christopher Vasta was responsible and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

18. Defendant Dominick Zarrella is Chief of Investigations Bureau of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Dominick Zarrella was responsible and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

19. Defendant Michael Morales is Vice Enforcement Major Case Team of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Michael

Morales was responsible and was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

20. Defendant Anthony Favale is Deputy Inspector of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Anthony Favale was responsible and part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

21. Defendant Michael Conlon is Group Supervisor of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Michael Conlon was part of “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

22. Defendant Anthony Scandiffio is Deputy Special Agent of the Attorney General of the State of New York at The Capitol, Albany, NY 12224. Upon information and belief, at all times relevant to this complaint, defendant Anthony Scandiffio was responsible and part of “Operation Out of Bounds” and was

responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

23. Defendants John Does 1-10 are officers of the Attorney General of the State of New York at The Capitol, Albany, NY 1224. Upon information and belief, at all times relevant to this complaint, defendants Jon Does1-10 were responsible and part of “ Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

III. The City of New York

24. At all times hereinafter mentioned, the defendants, either personally or through their employees, were acting under color of state law and/or in compliance with the official rules, regulations, laws, statutes, customs, usages and/or practices of the State or City of New York, to deprive plaintiff Janice Lee of her rights secured by the Constitution and the laws of United States and the State of New York, in direct violation of plaintiff’s Fourth Amendment Constitutional rights to be free from unreasonable searches and seizures.

25. Defendant City of New York (hereinafter “CITY”) is and was at all times relevant a municipal entity created and authorized under the laws of the State of New York. It is authorized by law to maintain a police department which acts as its agents

in the area of law enforcement and for which it is ultimately responsible. Defendant City of New York assumes the risks incidental to the maintenance of a police force and the employment of police officers. Defendant CITY was at all time relevant herein the public employer of the individuals defendants William J. Bratton, Phillip Banks III, Sunhoo Kim, Walter Harkins, Joseph Kim and officers John Does 11-20.

26. Defendant Phillip Banks III is NYPD Chief of Department of NYPD at 1 Centre Street, Room 1225, New York, NY 10007. Upon information and belief, at all times relevant to this complaint, defendant Phillip Banks III led and was responsible for “Operation Shade of Beige” that worked in tandem with “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

27. Defendant William J. Bratton is Police Commissioner of NYPD at 1 Center Street, Room 1225, New York, NY 10007. Upon information and belief, at all times relevant to this complaint, defendant William J. Bratton led and was responsible for “Operation Shade of Beige” that worked in tandem with “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

28. Defendant Sunghoo Kim is NYPD Sergeant-supervisor of NYPD at 1 Centre Street, Room 1225, New York, NY 10007. Upon information and belief, at all

times relevant to this complaint, defendant Sunghoo Kim led and was responsible for “Operation Shade of Beige” that worked in tandem with “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

29. Defendant Detective Walter Harkins is NYPD Detective of NYPD, Shield Number 2013, at 1 Centre Street, Room 1225, New York, NY 10007. Upon information and belief, at all times relevant to this complaint, defendant Walter Harkins led and was responsible for “Operation Shade of Beige” that worked in tandem with “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

30. Defendant Joseph Kim is NYPD Police Officer of NYPD at 1 Centre Street, Room 1225, New York, NY 10007. Upon information and belief, at all times relevant to this complaint, defendant Joseph Kim led and was responsible for “Operation Shade of Beige” that worked in tandem with “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

31. Defendant officers John Does 11-20 are officers of NYPD at 1 Centre Street, Room 1225, New York, NY 10007. Upon information and belief, at all times

relevant to this complaint, defendant officers John Does 11-20 led and was responsible for “Operation Shade of Beige” that worked in tandem with “Operation Out of Bounds” and was responsible for the operation that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

IV. The United States of America

32. Defendant Unites States of America (“UNITES STATES”), acting under the direction of Attorney General of the United States and Homeland Security failed to properly investigate and falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale.

33. Defendant Jeffery Bashara is Homeland Security Investigations Special Agent at U.S. Attorney’s Office, 1 Saint Andrew’s Plaza, New York, NY 10007. Upon information and belief, at all times relevant to this complaint, defendant Jeffery Bashara was part of and responsible for the investigation for “Operation Out of Bounds” and “Operation Shade of Beige” and was responsible for the operations that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale. Upon information and belief, at all times relevant hereto, Jeffery Bashara was employed as an agent in the New York Division of the United States Homeland Security, working out of an office located within Southern

District of New York.

34. Defendant officers John Does 21-25 are Homeland Security Investigations Special Agents at U.S. Attorney's Office, 1 Saint Andrew's Plaza, New York, NY 10007. Upon information and belief, at all times relevant to this complaint, defendant officers John Does 21-25 were part of and responsible for the investigation for "Operation Out of Bounds" and "Operation Shade of Beige" and were responsible for the operations that falsely charged and arrested plaintiff Janice Lee for promoting prostitution, money laundering and drug sale. Upon information and belief, at all times relevant hereto, defendant officers John Does 21-25 were employed as agents in the New York Division of the United States Homeland Security, working out of an office located within Southern District of New York.

JURISDICTION AND VENUE

35. This action arises under the Fourth and Fourteenth Amendments to the U.S. Constitution and federal statutory laws including 42 U.S.C. §§ 1983, 1988. The court has supplemental jurisdiction over the state law claims pursuant to 28 U.S.C. § 1367 (a), as such plaintiff's state claims arise out of a common nucleus of operative facts.

36. Venue is proper in the Southern District of New York because significant events arose in this district in which all defendants participated.

37. Within the proper time allotted by statute, plaintiffs filed a Notice of Claim

with the New York State Attorney General and the New York City Corporation Counsel and the Comptroller of the City of New York, in accordance with the New York State Court of Claims Act §§ 10 and 11 and CPLR §215, as against each State of New York and New York City defendants. More than 90 days have elapsed and defendants have failed and refused to pay.

GENERAL ALLEGATIONS

I. Defendants' Mass "Press Release" Campaign

38. Defendants' massive press campaign began two weeks before plaintiff Janice Lee's arrest, on the morning of January 29, 2014, when defendant NYS Attorney General Eric Schneiderman, NYPD Chief of Department Phillip Banks III and with the knowledge and participation of the other defendants herein, announced that multiple arrests had been made regarding a major drug and prostitution ring run mostly by Korean Americans engaged in high-end prostitution and drug trafficking, which marketed its services to clientele in New York for Super Bowl XLVIII. The 18 Asian individuals, 16 of them who were Koreans, were charged with money laundering, drug trafficking, and prostitution operation. The investigation was a collaborative efforts between the Attorney's General office, the New York Police Department and Homeland Security.

39. The New York Attorney General's press release led by Attorney General

Eric T. Schiniderman joined by NYPD Chief of Department Phillip Banks III and with the knowledge and participation of the other defendants herein, released the following statement:

Attorney General Eric T. Schneiderman, joined by NYPD Chief of Department Phillip Banks III and representatives from the New York State Police, today announced charges against 18 individuals for running a high-end prostitution and drug trafficking ring. The suspects are charged with conspiracy and a variety of underlying crimes, including narcotics sales, promoting prostitution and money laundering.

Attorney General Schneiderman detailed a nearly year-long undercover investigation that brought down a criminal ring charged with selling so-called “party packs,” involving cocaine and prostitutes, and laundering the illegal proceeds through front businesses that included a clothing wholesaler, a wig wholesaler, a limousine service and a beauty supply wholesaler. The ring is estimated to have generated millions of dollars in illegal proceeds and was working to market its services to a high-end clientele coming to the New York metropolitan area for the Super Bowl.

Drug trafficking and prostitution are a scourge on communities across our state,” Attorney General Schneiderman said. “My office will continue to work with our partners in law enforcement on multi-agency investigations like this one to take down networks of criminals who exploit women and poison our communities for profit.”

Police Commissioner Willima J. Bratton said, “These criminals utilized apartments in residential building as a way of carrying out their illicit activities. They

disregarded the safety and well-being of every member in those communities by providing a ‘one-stop shopping’ drug and prostitution ring. Thanks to the NYPD’s Vice Enforcement Major Case and Human Tracking Teams, investigators from the New York State Attorney General’s Office, the New York State Police, the United States Department of Homeland Security and the United States Attorney’s Office Southern District, this criminal enterprise no longer operates.”

Over the course of an 11-month investigation utilizing undercover investigators, physical and electronic surveillance and reviews of business records, the Attorney General’s Organized Crime Task Force and the New York Police Department determined that the individuals arrested today engaged in a criminal conspiracy that spanned Manhattan, Brooklyn, Long Island, Queens and several other States, though the operation was based in Manhattan.

Investigators believe that the suspects targeted wealthy out-of-town customers as prospective clients, especially before and during large events in the tri-state area. As recently as last week, just 10 days before the Super Bowl, a text message was blasted to frequent customers noting that “new sexy & beautiful girls R in town waiting for u.”

The criminal ring also promoted its prostitution business with numerous advertisements on the internet and public access television. In addition to promoting prostitutes, the ring sold cocaine, often to the same customers.

Transcripts of conversations that were intercepted by electronic surveillance revealed that the ring used various code names for cocaine, including “party,” “jewelry,” “powder,” “maek” and “Soojaebi,” a Korean noodle and vegetable soup. Intercepted conversations also revealed

that prostitutes would bring cocaine with them to meetings with johns who had ordered the drugs in advance. This is what they referred to as a “party pack.”

The ring charged customers for sex and drug as a package deal, sometimes billing for cocaine in an equivalent number of “hours” of prostitution. In some cases, the ring accepted credit cards in payment for sex and drugs. It was common practice for this ring to supply the johns with large quantities of drugs brought by one prostitute, and then once the john was impaired by the drugs, the ring would flood the room with additional prostitutes and repeatedly charge the john’s credit card, at times charging upward of \$10,000 for one night.

* * * * *

The following defendants were arrested and charged with various felony and misdemeanor counts:

TONY YOO, 34
JOSEPH LANDRUM (“Landrum”), 32
HYUN OK YOON (“Beige”), 41
YOUNG OK TAE (“Tae”), 38
KYUNG CHUN MIN (“Nicky”), 33
SUN LEE AHN (“Sarah”), 56
YOUNG MI LEE (“Jasmine”), 40
JI YOUNG MOON (“Ivy”), 40
JANICE LEE (“Naomi”), 35
HEE JUNG CHERN (“Leah”), 42
HAIMING QUAN (“Megan”), 41
KYONG BIN CHO (“Jackie”), 44
JUNG HEE JANG (“Sara”), 43
IN SUK CHO (“Hyo-Jung”), 49
JI YOUNG LEE (“Jenny”), 34
HADA JANG (“Mia”), 26

NINA KIM (“Tina”), 31
HAJOUNG HEATH (“Dada”), 40

(Exhibit 1 - NYS AG Press Release, January 30, 2014).

40. Defendants, led by Schneiderman and NYPD Chief of Department Phillip Banks III called “Janice H. Lee” as “Naomi,” a drug dealer, prostitute and a member of a gang, and falsely charged her with felony crimes. In fact, plaintiff Janice H. Lee had never before known, used, or associated with any of the alleged suspects or their alleged criminal organization and activities. During the mass press conference, defendants displayed plaintiff Janice H. Lee’s actual photo wrongfully and with reckless indifference to the true facts of her actual innocence, having failed to conduct elementary investigation and without any probable cause. (See Exhibit 2 and Exhibit 3).

41. Moreover, defendants made false statements that plaintiff Janice Lee was arrested and that she was one of the criminal managers involved in a criminal ring selling drugs during the press conference held before plaintiff Janice Lee’s arrest. See <https://vimeo.com/98063033>. During the press release, Attorney General Eric Schneiderman and NYPD Chief of Department Phillip Banks III, with the knowledge and participation of the other defendants herein, is quoted as follows:

A. Good morning. Thank you for being here with us today. I am Attorney General Schneiderman. I am pleased to be joined by one of our great partners in law enforcement the Chief of Department of NYPD

Phillip Banks, he is here with Inspector Favale, and he is also joined by Major Keith Corlate and Troopers Lee and Kim from the New York State Police who were essential in this investigation and Laurie Cohen who is senior attorney with the Sanctuary for Families.

B. This operation Out of Bounds was another great example of seamless operation of our agency and agencies of New York State Attorney's office and New York State Police Department, with other agencies, we have 18 targets who are running very sophisticated prostitution and drug ring and we have apprehended already 11 out of the 18, we started last night, arrests are imminent for several others, this was a money laundering, drug trafficking and prostitution operation based in New York City but catering to clientele far away as Texas.

C. Operation out of Bounds is a result of 11 month long joint investigation that we engaged in with our partners who are here today and with some assistance from Homeland Security, our investigations used both investigative undercover, physical surveillance, electronic surveillance both phone calls and text messages and the review of documents from businesses which was critical part of investigation, because as we said this was a sophisticated business making tremendous amount of money illegally in the course of past year.

D. The criminal organization that we arrested today was selling sex and drug as a package deal. The ring advertised extensively on the internet and public access television. Ads conveyed as primary services escort services, prostitution, but when the client would contact the ring they were also offered to buy narcotics, they were offered to buy crack. Every one who was a target here [pointing to the oversized posterboard with plaintiff Janice Lee's name and photograph] was involved in dealing drugs or management of the clients and enterprise. None of the targets here [pointing to the oversized posterboard with plaintiff Janice Lee's name and photograph] were street level prostitutes. We are going after the management of this criminal enterprise

E. Prostitutes were sent to the hotel rooms of the clients, and they would deliver cocaine or other products when they arrive, and some of the clients went to in-call location where the sex and drugs were

waiting, and it was referred to as party pack, and as I said this was a very sophisticated operation.



42. During the entire 23 minute press conference of media circus and frenzy, neither the Attorney General Eric Scheiderman and NYPD Chief of Department Phillip Banks III, with the knowledge and participation of the other defendants herein, made any statement that the individuals whose photographs and names were displayed across the oversized poster boards were proven innocent until proven

guilty. Every statements regarding Janice Lee and the individuals who were displayed on the poster board were stated as facts.

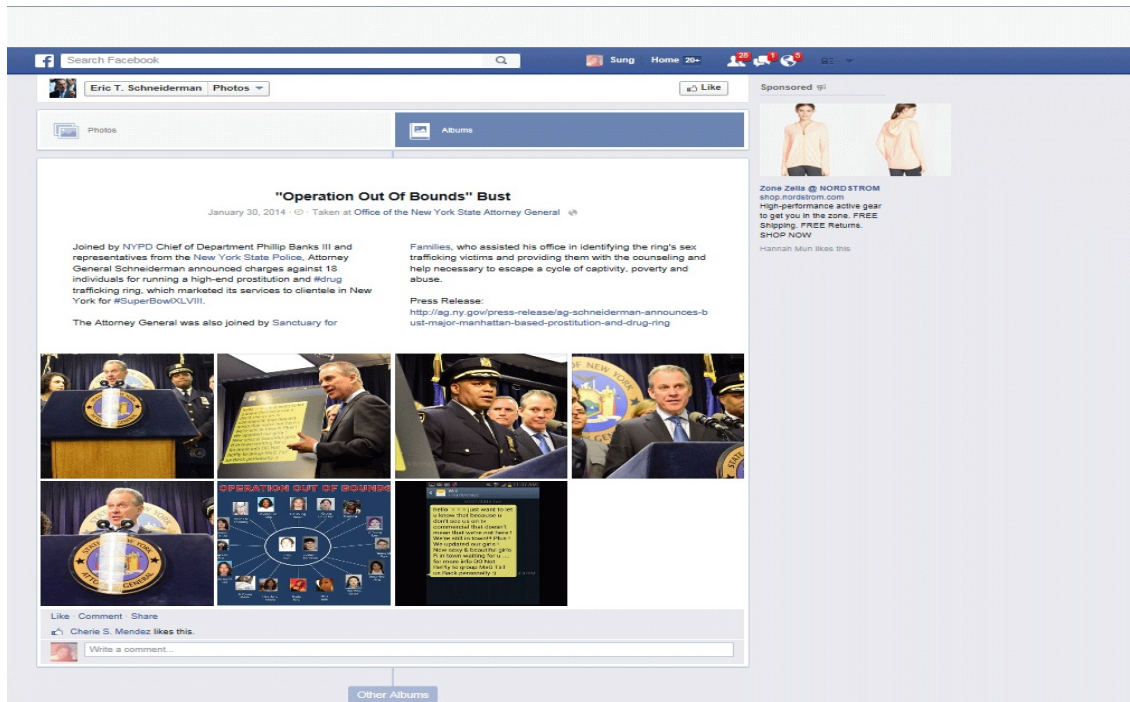




43. The press conference was attended by a mass crowd of reporters; defendants intended to, and actually did, disseminate the false story to virtually every news organization locally, nationally and internationally, large and small, and intended to create the broadest exposure for their political stature. Many media members covered the story with the required objectivity; some purported media outlets took the defendants' false story as "fact" and disseminated stories that were false and defamatory, by calling plaintiff Janice H. Lee as a "drug dealer"; "gang" member; "Party Pack" distributor; "money launder" and such things.

44. Following the mass press campaign which began on January 29, 2014, and is continuing today, many of plaintiffs' friends, acquaintances, business associates, and even her customers have recognized her and have been shocked to learn of her

implication and inculpation in the widely reported false story. Even up to the day this complaint was first filed, the NYS Attorney General's official website and his Facebook website displayed the photos of plaintiff Janice Lee, without editing or deletion, as a glorified accomplishment, even after knowing full well that they had falsely arrested the plaintiff without any probable cause nor excuse. (See Exhibit 5). They have yet to inform the massive numbers of media outlets that carried their false story that plaintiff Janice H. Lee's face and name should be removed because she was not only "not guilty," but actually innocent. Having smeared her good name and reputation, they have done nothing, lifted not a single finger, towards repairing their botched investigation.



II. Defendants Engaged In False Arrest

45. Plaintiff Janice H. Lee has never been in trouble with the law; has never been lawfully arrested; has never been lawfully charged or convicted of any crime, even a misdemeanor. She is a mother, wife, and daughter of a perfectly law abiding family residing with both of her aging parents, husband and her son at her home in Ridgefield, New Jersey.

46. The defendants herein, working in tandem as local, state and federal investigators, supposedly conducted physical and electronic surveillance of plaintiff

and the others arrested and charged. They also utilized undercover agents to provide them with intelligence and evidence against the perpetrators. Plaintiff Janice Lee has never been arrested or, upon information and belief, even suspected of any offense prior to her arrest in this matter. She never associated with and was never seen associating with any of the actual perpetrators in the criminal case. She never participated in any of the prostitution or drug transactions underlying the criminal case, nor did she utilize her business or any other business to engage in money laundering transactions. Nonetheless, Detective Harkins with the knowledge and participation of the other defendants herein, with wrongful intent and reckless indifference, swore falsely under oath in a criminal court complaint that plaintiff had engaged in all of those acts and more, and procured an arrest warrant based on those false allegations.

47. Defendants had no knowledge or information that plaintiff Janice Lee was involved in any criminal conspiracy of the kind of felonies they charged her with. When the time came to effect the arrest of the suspects, on January 30, 2014, despite their abject lack of probable cause, Detective Harkins with the knowledge and participation of the other defendants herein, with wrongful intent and reckless indifference, falsely swore out the complaint and falsely induced a judicial officer to issue an arrest warrant for the plaintiff Janice Lee anyway and requested the New Jersey State Police to arrest and incarcerate plaintiff Janice Lee on a fugitive detainer.

48. On February 12, 2014, while plaintiff Janice Lee was working studiously at her workplace, at 120 Moonachie Ave., Moonachie, NJ, several plain-clothed, unidentified men, dressed in black t-shirts and black pants charged into Janice Lee's workplace, cross-checked her face with what she later came to learn was her New Jersey driver license photograph. These men in black asked plaintiff Janice Lee if the photograph was her, and when plaintiff Janice Lee answered yes, without disclosing their identities, took plaintiff Janice Lee out of her workplace in the plain view of her entire office colleagues and even the president of her company. They practically dragged her outside to the parking lot where multiple "New Jersey State Police" vehicles were parked; forced her into the back seat of one of the cruisers; then transported Janice Lee. Janice Lee was not provided with any Miranda rights; she was not told why she was had been arrested; she was not provided with any arrest warrant.

49. Plaintiff Janice Lee was transported to Bergen County Jail and booked. In the meantime, her driver's license photograph and her actual name, "Janice H. Lee," were knowingly, willfully, deliberately, and recklessly in disregard for truth, disseminated worldwide through a massive, organized press release campaign undertaken by the defendants. After being locked up, only after retaining her attorneys with the Kimm Law Firm, she came to learn of the pending charges against her. According to the criminal complaint filed in the New York Criminal Court, plaintiff

Janice H. Lee was being charged with multiple counts of felonies that would presumptively land her in prison for a dozen years or more, as follows:

Detective Walter Harkins, shield 2013, of the New York Police Department (“NYPD”), being duly sworn, deposes and states that on or about and between November 19, 2012 and October 18, 2013, at the dates, times and places noted in the paragraphs below, in the County of New York, State of New York and elsewhere,

THE DEFENDANT JANICE LEE (“Naomi”), ACTING IN CONCERT WITH CO-CONSPIRATORS, COMMITTED THE OFFENSE OF:

1. Penal Law Section 105.10(1) Conspiracy in the Fourth Degree ("E" Felony) (1 Count) THE DEFENDANT JANICE LEE (“Naomi”), ACTING IN CONCERT WITH CO-CONSPIRATORS HYUN OK YOONUNG (“Beige”), YOUNG OK TAE (“Tae”), and KYUNG CHUN MIN (“Nicky”), COMMITTED THE OFFENSES OF:

2. Penal Law Section 220.16(1) Criminal Possession of a Controlled Substance in the Third Degree ("B" Felony) (1 Count)

3. Penal Law Section 220.39(1) Criminal Sale of a Controlled Substance in the Third Degree (“B” Felony) (1 Count)

4. Penal Law Section 230.20(1) Promoting Prostitution in the Fourth Degree (“A” Misdemeanor) (1 Count)

IN THAT THE DEFENDANT JANICE LEE (“Naomi”): with the intent that conduct constituting a class B or class C felony be performed, agreed with one or more persons to engage in or cause the performance of such conduct; knowingly and unlawfully sold a narcotic drug; and

knowingly and unlawfully possessed a narcotic drug with intent to sell it; knowingly advanced or profited from prostitution.

(Exhibit 5).

50. The sworn statements on the arrest warrant used to procure the arrest warrant of the plaintiff Janice Lee were false and baseless and hence entirely fabricated by Detective Walter Harkins with the knowledge and participation of the other defendants, with wrongful intent and reckless and negligent indifference to reality. Plaintiff Janice Lee was falsely arrested in February 2014 and held for over a week in violation of her constitutional rights, principally under the Fourth Amendment.

51. Each individual defendants with the approval by the Attorney General Eric Schneiderman, NYPD Chief of Department Phillip Banks and NYPD Police Commissioner Bratton with the knowledge and participation of the other defendants herein, arrested innocent individuals, primarily Korean minorities, on the pretext that they engaged in criminal activity, in order to meet productivity goal, timelines, and so as not to compromise overall investigations of Operation Out of Bounds and Operation Shade of Beige. Detective Walter Harkins with the knowledge and participation of the other defendants fabricated false evidence against plaintiff Janice Lee, disregarding obvious proof of claims of Mrs. Lee's innocence.

52. Plaintiff Janice Lee was not the only innocent victim who was falsely

arrested and publicly accused of being involved in a drug and prostitution ring by the defendants. Another victim named Ji Young Lee who owns and operated a small jewelry and craft business ,who has never been arrested or even suspected of any offense prior to her arrest nor associated with any of the actual suspects in the criminal case was arrested at her home the same day as plaintiff Janice Lee was arrested. Detective Harkins with the knowledge and participation of the other defendants herein, swore falsely under oath in a criminal court complaint that Ji Young Lee had engaged in acts of prostitution and drug ring and procured an arrest warrant based on those false allegations. (See SDNY Docket 15-cv-2001).

II. Defendants' Failure and Refusal to Investigate Facts and Exculpating Evidence

53. Defendants failed to investigate facts as against each person they targeted. If the investigation really took a “year or more,” as they boasted to the media, the false charging of two or more innocent individuals is not reasonably feasible or debatable. Defendants simply failed to distinguish among “Asians” that may have had similar sounding names and essentially failed to distinguish “John Smith” with myriad other “John Smiths” in society. Defendants could have easily ascertained “Janice Lee” by investigating her cell phone, her activities, and her voice but failed and refused to do so based on nothing but a blind hunch.

54. After their long-running failure to investigate, when plaintiffs' counsel specifically told defendants that they had the "wrong person" they failed to investigate even then. From the very first day of her arrest and incarceration, and every day thereafter, plaintiff Janice H. Lee, through counsel, provided the defendants, principally through Assistant Deputy Attorney General Howard Feldberg, with proof of her actual innocence including proof of her business travels-alibi that rendered her physically impossible of being at some or all of the events charged by defendants. A review of her phone records with the phone records defendants believed to be those of "Janice" would have immediately revealed that these were two different individuals, not merely the same person because they were both "Korean" or "Asian" and may have had a common name, "Janice."

55. Assistant Deputy Attorney General Howard Feldberg with the knowledge and participation of the other defendants herein, knew that there was absolutely no probable cause to arrest the plaintiff Janice Lee and that the warrant was fabricated by Detective Harkins with the knowledge and participation of the other defendants. Between February 14, 2014, and February 17, 2014, plaintiff's counsel provided the lead prosecutor in charge, Howard Feldberg, extensive evidence that Janice H. Lee was innocent through extensive exculpatory evidence, such as:

1. Janice H. Lee has never used or possessed a phone number 201-245-2804 which you provided after our

discussion. The only phone number that is owned by Janice H. Lee is 301-807-7779.

2. Janice H. Lee has been working for the sales department of a well-established, multimillion wig company located at Moonachie, New Jersey, where she was arrested. She is a mother of an 8 year old son and is married.

3. On August 10 and 11, 2013, the two dates ascribed to her in the complaint, she was in New Jersey and on August 11 she attended an all day family picnic in the Bear Mountain area. We are happy to supply some photos to you, as attached.

4. All of Janice H. Lee's bosses and coworkers will confirm that she was a sales account manager for a legitimate wig distributor company and not a subterfuge company.

We agreeable to enter into informal discovery with the People but we think it more important for you and your investigators to reinvestigate immediately and correct this manifest misunderstanding. (See Exhibit 6).

Instead of investigating the exculpatory evidence offered by the plaintiff's counsel, defendants failed and refused to take any action in bad faith, and totally disregarded evidence of actual innocence; and failed to review the evidence of innocence up and down the chain of command, namely all of the defendants.

56. Moreover, Assistant Deputy Attorney General Howard Feldberg with the knowledge and participation of the other defendants herein, held plaintiff Janice Lee with wrongful intent and deliberate indifference to the Mrs. Lee's constitutional rights under the Fourth and Fourteenth Amendments. On February 19, 2014, once again

plaintiffs' counsel provided defendant Howard Feldberg with plaintiff Janie Lee's baggage and rental car receipts from September 8, 2013 to September 14, 2013, from her California business trip, clearly showing proof of her actual innocence. (See Exhibit 7). Despite these facts, Feldberg claimed "we have the right woman"; and "they all claim innocence," meaning "criminals are always denying their involvement."

57. Late night, on February 19, 2014, defendant Howard Feldberg stated that he would terminate the New York detainer and authorized Bergen County Jail to release Janice Lee from custody. It was not until February 20, 2014, that defendant Howard Feldberg acted on the proof of plaintiff Janice Lee's innocence and finally undertook a cursory "investigation" before concluding that his team's prior "investigation" had been constitutionally defective.

58. Even then, defendants insisted upon Janice H. Lee's counsel that her passport should be retained by her counsel as a quid-pro-quo of her "release on trust"; this vicarious seizure of Janice Lee's passport has never been undone.

59. On February 25, 2014, defendant Assistant Deputy Attorney General Howard Feldberg moved before the New York Criminal Court to vacate the warrant for Janice H. Lee as a fugitive, See Exhibit 8. There was no lengthy review of the case evidence, no interview of the plaintiff, no meeting with the plaintiff and her defense attorney.

60. Moreover, defendants have taken no action to eliminate their website, their

press release materials, their massive media campaign in which Janice H. Lee is still identified directly and obviously as a drug gang; money launderer; organized prostitution operator; sex-and-drugs “Party Pack” distributor of the sleaziest kind.

III. Defendants Caused Plaintiffs’ Injuries

61. Plaintiff Janice Lee suffers from psychological injury which will be detailed in discovery. Plaintiff Janice Lee can no longer function normally in her day-to-day activities as she has previously done in her family and in her work.

CLAIMS FOR RELIEF

Count One – 42 U.S.C. § 1983

False Arrest

62. The foregoing allegations are here incorporated by reference.

63. Title 42 U.S. Code § 1983 - Civil action for deprivation of rights provides:

Every person who, under color of any statute, ordinance, regulation, custom, or usage, of any State or Territory or the District of Columbia, subjects, or causes to be subjected, any citizen of the United States or other person within the jurisdiction thereof to the deprivation of any rights, privileges, or immunities secured by the Constitution and laws, shall be liable to the party injured in an action at law, suit in equity,

64. Defendants lacked any probable cause to arrest the plaintiff Janice Lee; and they obtained the bogus “warrant” on the basis of false information as to Janice Lee. Defendants conspired to, and acted in furtherance of the conspiracy, to deprive plaintiff

Janice H. Lee of her civil rights under the United States Constitution and federal law and state law, under color of New York State Penal Law and under color of their official office and imprimatur.

65. Defendants' acts against plaintiff Janice Lee, were malicious, deliberate, knowing, intentional, and recklessly wrongful and were intended to cause plaintiff injury or were in abject disregard for her rights to be free of unreasonable search and seizure under the Constitution and the law of the United States and laws of the State of New York.

66. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Two – 42 U.S.C. § 1983

False Imprisonment

67. The foregoing allegations are here incorporated by reference.

68. Defendants falsely arrested and imprisoned plaintiff Janice Lee.

69. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and

reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Three- 42 U.S.C. § 1983

Fourth Amendment Violation

70. The foregoing allegations are here incorporated by reference.

71. By reason of those facts defendants violated the fourth amendment.

72. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Four – 42 U.S.C. § 1983

Municipal Liability

73. The foregoing allegations are here incorporated by reference.

74. The City of New York and the NY Police Department, as a unit of government operated by the City of New York, had an informal or formal policy of conducting “joint operations” with the State of New York whereupon the NYS Attorney General’s leadership would be followed and adhered. In pursuance of that policy, the City of New York was among the actors, acting through its agents, that violated plaintiffs’ rights under a formal or informal policy, practice or custom whereby

the underlying defective, unconstitutional investigation was “conducted” and resulted in plaintiffs’ injury.

75. The City of New York failed to implement a policy, practice or custom of actually investigating all facts in cases undertaken by its police officials and operated under a de facto policy of taking any State leadership cases at “face value.

76. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Five – Negligent Training Investigation Techniques

All Supervisory Defendants

77. The foregoing allegations are here incorporated by reference.

78. By reason of those facts, defendants engaged in negligent training of their law enforcement officials to conduct proper investigation; to actually investigate and cross-check facts; and to avoid arresting innocent citizens whom they are sworn to protect.

79. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and reputationally, plaintiff Janice H. Lee having been deprived her of her liberty

unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Seven- Bivens Action

Against the U.S. Government Defendants

80. The foregoing allegations are here incorporated by reference.

81. In Bivens v. Six Unknown Named Agents of the Federal Bureau of Narcotics, 403 U.S. 388, 91 S. Ct. 1991 (1971), the Supreme Court of the United States recognized an implied private cause of action for damages against federal officers who violate a citizen's constitutional rights. Some of the named defendants and some unknown defendants are federal agents with the U.S. Department of Homeland Security who are subject to the Bivens doctrine. These defendants are liable under Bivens for their participation in the foregoing facts.

82. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Eight - FTCA — Constitutional Tort and Negligence

Against the U.S. Government Defendants

83. The foregoing allegations are here incorporated by reference.

84. Defendant Jeffery Bashara, an agent of the United States, engaged in the foregoing conduct with the intent to cause, or in disregard of a substantial probability that the conduct would cause, harm to the plaintiff Janice Lee.

85. Plaintiff Janice Lee suffered special damages as a result of defendants' conduct including emotional distress, shame, fear and great mental anguish as a result of the defendants' tortious conduct.

86. There was no justification or excuse for defendant's tortious conduct.

Count Nine – Defamation Per Se

All Defendants

87. The foregoing allegations are here incorporated by reference.

88. By reason thereof, defendants and each of them committed repeated acts of defamation, both libel and slander, with each false press conference, each press release, and new and secondary dissemination of defamatory materials that harmed plaintiff Janice Lee by name, picture and reputation as a member of a "drug and prostitution ring"; "money launderer"; "drug trafficker"; "felony criminal", so forth.

89. By reason of the above, plaintiff Janice Lee and her immediate-family members were all significantly injured both physically, psychologically and reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Ten – Negligent, Intentional and/or Reckless

Infliction of Emotional Distress

90. The foregoing allegations are here incorporated by reference.

91. Defendants' unlawful, unconstitutional conduct, without justification, was extreme, outrageous, and utterly intolerable in a civilized community; conduct which exceeded all reasonable boundary of decency. Defendants conduct was intended to and did cause severe emotional distress to plaintiffs.

92. Furthermore, defendants knew or should have known that their conduct in falsely arresting plaintiff Janice Lee would cause plaintiff emotional distress. Defendants' action in causing the false and defamatory article and/or internet story to be published was extreme and outrageous, beyond all possible bounds of decency.

93. By reason of the above, plaintiff Janice Lee was significantly injured both physically, psychologically and reputationally, Janice H. Lee having been deprived her of her liberty unlawfully and exposed to public ridicule and disgrace, and having suffered great mental anguish.

Count Eleven- Abuse of Process

94. The foregoing allegations are here incorporated by reference.

95. The defendants and those in their employ and at their direction, initiated and procured a public arrest and prosecution of the plaintiff Janice Lee in the form of a

complaint sworn to and provided to prosecutors and the court and by obtaining an arrest warrant thereon and transmitting it as a fugitive warrant.

96. The defendants and those in their employ and at their direction, issued such charges wrongfully and with actual malice for the sole purpose of harming the plaintiff Janice Lee and her reputation and causing her to be arrested and subjected to criminal prosecution, public scorn and ridicule, without cause, excuse or justification.

97. As a result of such conduct, plaintiff Janice Lee suffered actual and special damages in that: plaintiff has been held up to public contempt, ridicule, disgrace and prejudice; has suffered great and severe mental pain and anguish; has been irreparably injured in her good name, professional reputation and social standing; and has lost the esteem and respect of her friends, acquaintances, professional and business associates, and of the public generally; has been seriously impaired in the enjoyment of life and the practice of her profession; and, has suffered emotional and psychological injury and depression; has suffered physical manifestation of pain and suffering; has been limited in the activities in which she can engage; and the defendants have caused plaintiff Janice Lee to be arrested and prosecuted and to incur legal fees to defend herself, all of which has caused substantial economic harm, physical and emotional injuries and damages.

Count Eleven- Malicious Prosecution

98. The foregoing allegations are here incorporated by reference.

99. The defendants and those in their employ and at their direction, initiated and procured a public arrest and prosecution of the plaintiff Janice Lee in the form of a complaint sworn to and provided to prosecutors and the court.

100. The defendant and those in their employ and at their direction, commenced and continued such prosecution wrongfully and with actual malice for the sole purpose of harming the plaintiff Janice Lee and her reputation and causing her to be arrested and subjected to criminal prosecution, public scorn and ridicule; they did so without probable cause, excuse of justification.

101. The prosecution wrongfully and maliciously procured by the defendants against plaintiff Janice Lee was terminated in favor of plaintiff and under circumstances fully indicating the plaintiff's innocence.

102. As a result of such conduct, plaintiff Janice Lee suffered actual and special damages in that: plaintiff has been held up to public contempt, ridicule, disgrace and prejudice; has suffered great and severe mental pain and anguish; has been irreparably injured in her good name, professional reputation and social standing; and has lost the esteem and respect of her friends, acquaintances, professional and business associates, and of the public generally; has been seriously impaired in the enjoyment of life and the practice of her profession; and, has suffered emotional and psychological injury

and depression; has suffered physical manifestation of pain and suffering; has been limited in the activities in which she can engage; and the defendants have caused plaintiff Janice Lee to be arrested and prosecuted and to incur legal fees to defend herself, all of which has caused substantial economic harm, physical and emotional injuries and damages.

Count Thirteen-Monell Claim

103. The foregoing allegations are here incorporated by reference.

104. The State and City of New York, through policy and customs, directly caused the constitutional violation suffered by plaintiff.

105. Upon information and belief, the State and City of New York, at all relevant times, were aware that Detective Harkins, Police Officer Kim, Sergeant Kim, Lieutenant Morales and "John and Jane Does 1-10" and each of them, and the other defendants and those in their employ and at their direction, were unfit officers who have previously committed the acts alleged herein and/or have a propensity for unconstitutional conduct.

106. Nevertheless, the State and City of New York exercised deliberate indifference by failing to take remedial action. The State and City failed to properly train, retain, supervise, discipline, and monitor the officers and improperly retained and utilized them. Moreover, upon information and belief, the State and City of

New York failed to adequately investigate prior complaints filed against the officers.

107. In addition, the following are State and City policies, practices and customs:

(A) Arresting innocent individuals, primarily minorities, on the pretext that they engaged in criminal activity, in order to meet productivity goal, timelines, and so as not to compromise overall investigations;

(B) Fabricating evidence against individuals;

(C) Disregarding obvious proof of and claims of innocence;

WHEREFORE, plaintiffs and each of them demand against defendants and each of them, jointly and severally:

A. Compensatory damages in the amount to be determined by a jury;

B. Punitive damages against the individual defendants and not the governmental defendants in an amount to be determined by a jury;

C. Legal fees, other professional fees, and costs incurred in this action;

D. Declaratory judgment under 28 U.S.C. §2201 that defendants violated plaintiff Janice H. Lee's constitutional rights; injunction mandating deletions of all existing media-campaign materials used to smear plaintiff Janice H. Lee's name and

likeness, and otherwise removing all false reports, publication and photographs from all accessible media; and

E. Any other relief the Court deems just and proper under the facts of the case in plaintiffs' favor.

JURY DEMAND

Plaintiffs request a trial by jury pursuant to Federal Civil Rule 38.

Dated: September 2, 2015

/s/ Michael S. Kimm

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